



INSURANCE AND PENSIONS COMMISSION
FUNERAL ASSURANCE REPORT
FOR THE QUARTER ENDED 31 MARCH 2020



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This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by life assurers. The funeral assurance business generated by life assurers is reported in the life assurance report. All the figures in this report are expressed in ZWL\$. Figures relating to periods before February 2019 which were originally reported in USD\$ have been converted into ZWL\$ at parity with the United States Dollar in accordance with the provisions of S.I 133 of 2019.

Growth referred to in this report is nominal growth unless stated otherwise.

***The total figures reported here exclude Doves Life Assurance and will differ from those published in prior reports where comparisons are applicable.

Table of Contents

Section A

1. Executive Summary	3
2. The Insurance and Pensions Commission at a Glance	3
3. Terms of Reference	3
4. Industry Architecture	5

Section B

Economic Overview	6
5. World Economic Growth Rates	6
6. Sub-Saharan Africa	6
7. Domestic Economic Outlook	6
8. Currency Reforms	6
9. Exchange Rate and Inflation Developments	7
10. Trends in the Real Estate Market	7
11. Trends on the ZSE	7
12. Trends in the Money Market	7

Section C

13. Regulatory and Supervisory COVID-19 Measures	8
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Section D

14. Performance in-terms of Business Written	9
15. Capitalisation	9
16. Asset Quality	10
17. Reassurance	11
18. Actuarial Matters	11
19. Earnings	12
20. Liquidity	13
21. Market Share	13
22. Funeral Assurance Sector Complaints	14
23. The Future	14
24. Appendix	15

List of tables

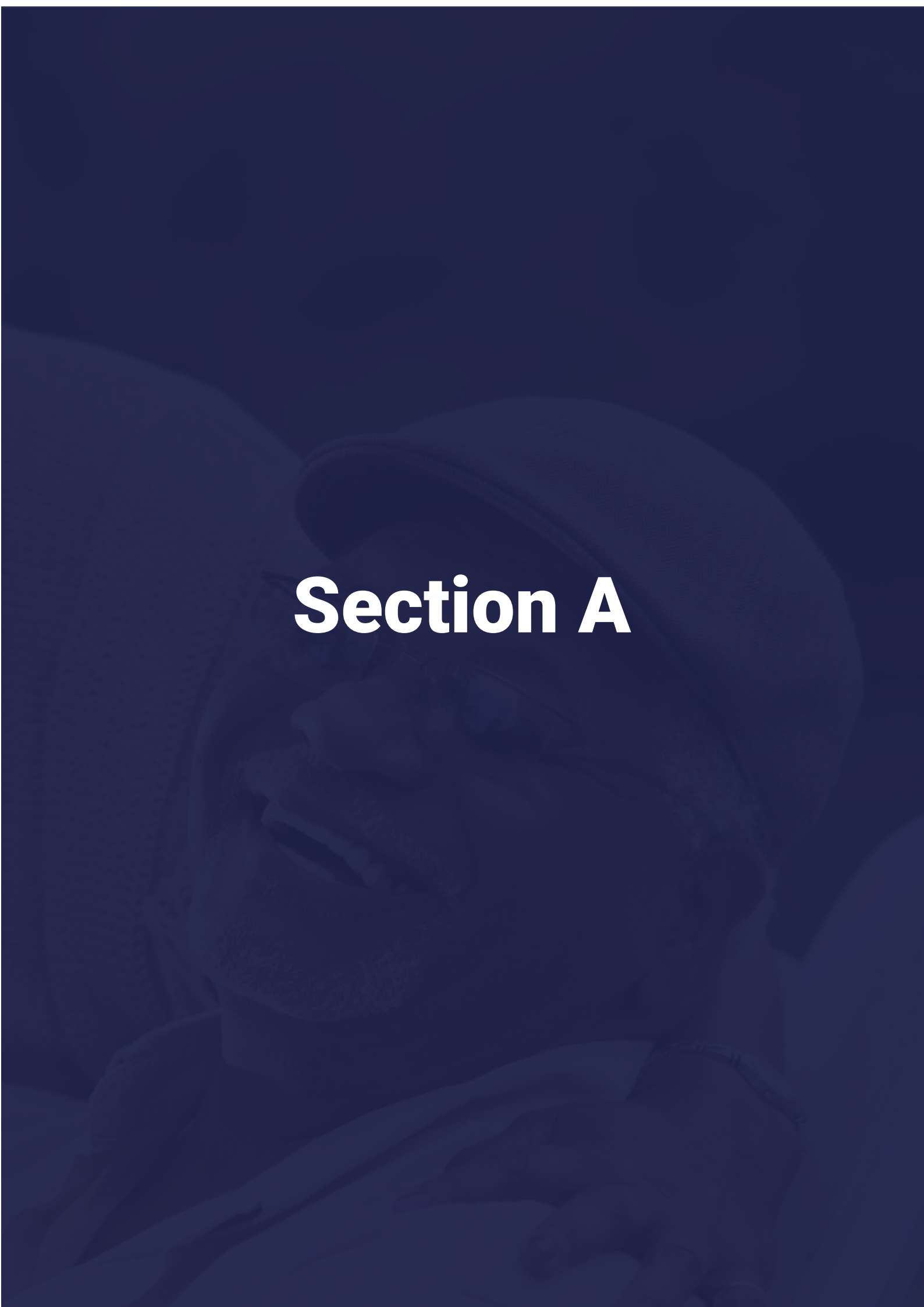
Table 1: Key Performance Indicators.....	4
Table 2: Funeral Assurance sector architecture.....	5
Table 3: Gross Premium Written Per Company.....	9
Table 4: Capitalisation Trend Levels.....	10
Table 5: Prescribed Assets for the Funeral Assurance Sector.....	11

List of figures

Figure 1: Breakdown of Assets.....	10
Figure 2: Market Share in-terms of GPW.....	13

Abbreviations

GPW	Gross Premium Written
PA	Prescribed Assets/Securities as defined by Insurance Act [Chapter 24:07]
IPEC	Insurance and Pensions Commission



Section A

1. Executive Summary

1.1 For the quarter under review, there were eight (8) registered and operating funeral assurers writing strictly funeral business.

1.2 The funeral assurance sector's GPW increased by 285.61% in nominal terms from ZWL\$5.71 million reported for the quarter ended 31 March 2019 to ZWL\$22.03 million reported for the period for the quarter ended 31 March 2020.

1.3 After accounting for inflation, GPW written for the period under review decreased by 50.33% to ZWL\$2.837 million for the quarter ended 31 March 2020.

1.4 No funeral assurer had reinsurance arrangement(s) in place as a risk management tool.

1.5 Profit before interest and tax for the funeral assurance sector increased in nominal terms by 21.37% from ZWL\$3.6 million for the quarter ended 31 March 2019 to ZWL\$4.3 million for the quarter ended 31 March 2020.

1.6 However, in real terms profit after tax decreased by 84.37% from ZWL\$3.60 million for the quarter ended 31 March 2019 to ZWL\$ 563,110 for the quarter ended 31 March 2020.

1.7 The decline in profit before interest and tax was mainly on account of the effects of inflation on the figures that were submitted by the dedicated funeral assurers.

1.8 Funeral assurers' total inflation adjusted assets increased by 54.44% from ZWL\$ 287.91 million as at 31 December 2019 to ZWL\$444.641 million

as at 31 March 2020. The change in the asset movement was attributable to property revaluations that were conducted by funeral assurers. The property portfolio witnessed a 61.05% increase from ZWL\$260.05 million to ZWL\$ 418.83 million for the comparable period.

1.9 Prescribed asset investments by the funeral assurance sector decreased by 24.90% from ZWL\$272,300.00 as at 31 December 2019 to ZWL\$204,490.00 as at 31 March 2020.

1.10 All funeral assurers continue to be non-compliant with the minimum Prescribed Asset ratio of 10.00% as stipulated by Statutory Instrument 206 of 2019. The Commission has engaged all funeral assurers and appropriate action has been taken and players are expected to comply by agreed timelines.

1.11 Two out of eight funeral assurers reported capital positions above the regulatory minimum capital requirement of ZWL\$62.50 million as stated in Statutory Instrument 59 of 2020 based on their unaudited financials as at 31 March 2020. In response to the request by the Commission, five funeral assurers who were not compliant with the required minimum capital requirement have submitted re-capitalisation plans or have advised the Commission that their boards are seized with the matter.

1.12 Total technical liabilities for the funeral assurance sector marginally increased in absolute terms by 2.44% from ZWL\$27.89 million as at 31 December 2019 to ZWL\$28,57million as at 31 March 2020.

1.13 However, this slight increase in technical liabilities was not commensurate with the risk profile of the funeral assurance industry. Given the macro-economic environment, funeral assurers were expected to have significant increases in their reserves.

1.14 The number of policies written by the funeral assurance sector decreased by 32.86% from 219,960 policies for the three months ended 31 March 2019 to 153,160 policies for the comparable period in 2020.

1.15 The inflation adjusted sum assured also decreased by 66.73% from a total sum assured of ZWL\$186.44 million for the quarter ended 31 March 2019 to ZWL\$66.02 million for the quarter ended 31 March 2020.

1.16 Table 1 below shows the key financial highlights for the funeral assurance sector as at 31 March 2020. Furthermore, Appendix 1, 2 and 3 show performance indicators, income statement and statement of financial position for each funeral assurer.

Table 1: Key Performance Indicators

Key Financial Indicators	Funeral Assurers				
	Mar-2020	Mar-2019	Change	Mar-2020 Inflation Adjusted	Change - Inflation Adjusted
Funeral assurers GPW (ZWL\$ 000)*	22,029.69	5,712.95	285.61%	2,837.45	-50.33%
Net Written Premium (ZWL\$ 000)	22,029.69	5,712.95	285.61%	2,837.45	-50.33%
Total Gross Claims (ZWL\$ 000)	7,325.53	1,694.45	332.32%	943.54	-44.32%
Operating Expenses including Administration and Management (ZWL\$ 000)	12,744.76	3,351.73	280.24%	1,641.54	-51.02%
Commissions (ZWL\$ 000)	1,547.94	483.89	219.89%	199.38	-58.80%
Total Costs (ZWL\$ 000)	21,618.23	5,530.07	290.92%	2,784.45	-49.65%
Profit Before Interest and Tax (ZWL\$ 000)	4,373.10	3,603.00	21.37%	563.11	-84.37%
Ratio Analysis	Mar-2020	Mar-2019	Change	Mar-2020 Inflation Adjusted	Change - Inflation Adjusted
Expense Ratio	64.87%	67.14%	-233 basis points	64.87%	-233 basis points
Claims Ratio	33.25%	29.65%	360 basis points	33.25%	360 basis points
Combined Ratio	98.13%	96.79%	134 basis points	98.13%	134 basis points
Industry Overview	Mar-2020	Mar-2019	Change	Mar-2020 Inflation Adjusted	Change - Inflation Adjusted
Total Number of Policies (000)	147.67	219.96	-32.86%	147.67	-32.86%
Total Sum Assured (ZWL\$ 000)	481,577.41	186,441.42	158.30%	62,027.77	-66.73%
	Mar-2020	Dec-2019	Change	Mar-2020 Inflation Adjusted	Change - Inflation Adjusted
Total Assets (ZWL\$ 000)**	562,871.71	287,914.30	95.50%	444,641.53	54.44%
Total Liabilities (ZWL\$ 000)	57,701.22	51,118.00	12.88%	45,581.18	-10.83%
Capital - Net Assets (ZWL\$000)	505,170.49	283,405.30	78.25%	399,060.35	40.81%
Prescribed Assets (ZWL\$000)	204.49	272.30	-24.90%	161.53	-40.68%
Prescribed Asset Ratio (%)	0.04%	0.09%	-5.82 basis points	0.04%	-5.82 basis points

*Income statement figures were adjusted using year on year inflation of 676.39% reported for the month of March 2020. Source: <https://www.rbz.co.zw/index.php/research/markets/inflation>

**Balance sheet figures were adjusted using month on month inflation of 26.59% reported for the month of March 2020. Source: <https://www.rbz.co.zw/index.php/research/markets/inflation>



2. The Insurance and Pensions Commission at Glance

The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise and develop the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines industry developments and IPEC's various activities in the pensions industry consistent with its statutory mandate for the 3 months ended 31 March 2020.

3 Terms of Reference

The activities of the Commission are guided by the following acts and their regulations:

- Insurance and Pensions Commission Act [Chapter 24:21];
- Pension and Provident Funds Act [Chapter 24:09];
- Insurance Act [Chapter 24:07];
- Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- Finance Act [Chapter 23:04];
- Public Entities and Corporate Governance Act [Chapter 10:31];

- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23].

4. Industry Architecture

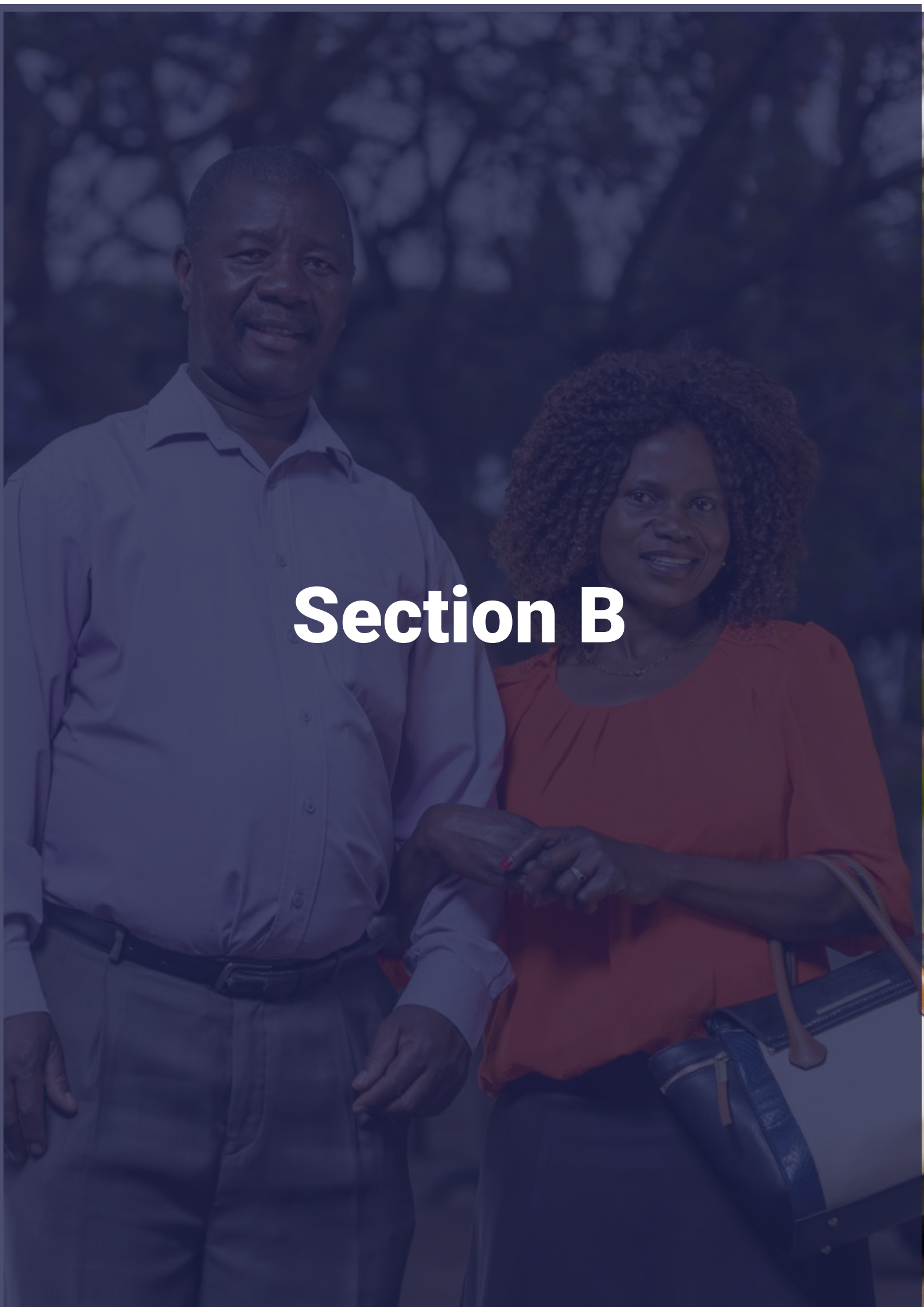
4.1 As at 31 March 2020, there were 8 registered funeral assurers under the supervision of the Insurance and Pensions Commission (IPEC).

4.2 Funeral assurers had 77 branches staffed by 330 employees as at 31 March 2020.

4.3 Funeral assurers had 123 agents comprising both corporate agents and individual agents as shown in table on the next page.

Table 2: Funeral Assurance sector architecture

Name Of Company	Corporate Agents	Sole Agents	Staff	Branches
First Funeral	0	19	48	10
Foundation	0	6	31	8
Moonlight	0	72	118	34
Orchid	0	0	8	1
Passion	0	6	21	3
Ruvimbo	0	6	30	15
Sunset	0	0	13	1
Vineyard	3	11	61	5
Total	3	120	330	77

A photograph of a middle-aged couple standing outdoors. The man on the left is wearing a light-colored button-down shirt and khaki pants. The woman on the right is wearing a red top and a grey skirt, and is holding a large grey bag. They are both smiling. The background shows out-of-focus trees. The entire image has a dark blue overlay.

Section B

Economic Overview

5. World Economic Growth Rates

5.1. The World economy has drastically changed since the outbreak of the coronavirus pandemic in November 2019. As jurisdictions implement necessary quarantines and social distancing practices under national lockdowns to contain the pandemic, the global economy has been put in a Great Lockdown which appears worse than the 2008 Global Financial Crisis.

5.2. The global economy is projected to contract by 3% as a result of the Covid 19 pandemic (IMF World Economic Outlook, April 2020) compared to the initial 3.4% projection of October 2019 (IMF World Economic Outlook).

5.3. The negative global economic growth projection is being driven by a slowdown in economic activity on the back of mandatory Governments and World Health Organisation (WHO) Covid-19 induced lockdowns across jurisdictions.

5.4. Advanced economies are projected to contract by 6.1% while emerging markets and developing economies are projected to contract by 2.2% (including China) and 1% (excluding China).

6. Sub-Saharan Africa

6.1. Sub-Saharan African economies are projected to contract by 1.6%, which is 5.2 percentage points lower than the 3.6% growth initially projected in the October 2019 IMF World Economic Outlook. The World Bank estimates that 2020 will mark Sub-Saharan Africa's first

recession in 25 years.

7. Domestic Economic Outlook

7.1. Zimbabwe's economy is projected to contract by 7.4% in 2020 from an initial growth projection of 0.8% (IMF). The economic downturn is projected in the wake of economic uncertainties characterised by liquidity challenges, weak domestic demand, low commodity prices, low production due to Covid-19 induced lockdown, loss of income, below-normal agricultural production on account of drought and increasing inflation.

7.2. The economy is also projected to be adversely affected by low activity in tourism as a result of the extensive travel restrictions. The country is, however, anticipated to rebound in 2021 to a small growth of 2.5%.

8. Currency Reforms

8.1. The restoration of the monetary policy autonomy following the abandonment of the multi-currency system and the re-introduction of a mono-currency in 2019, has ignited exchange rate induced inflationary pressures and depreciation of the local currency against other vehicle currencies.

8.2. The gazetting of S.I 85 of 2020 facilitated the use of foreign currency by holders of free funds during the Covid-19 lockdown. While the S.I. provided flexibility to consumers to use free funds during this period, some business entities have gone on to exclusively charge their goods and services in foreign currency in violation of S.I. 142 of 2019.

8.3. The insurance and pensions industry have not been spared from the prevailing inflationary environment with most economic agents now opting for foreign currency-denominated policies as opposed to Zimbabwe dollar-denominated policies as they seek to guard against regular review of sums insured.

8.4. Similarly, employers who are paying salaries and pension contributions in foreign currency have made a call for the payment of benefits in the corresponding currency in which contributions would have been made.

9. Exchange Rate and Inflation Developments

9.1. The local currency has consistently depreciated against major currencies notably the United States dollar since the introduction of currency reforms. The exchange rate depreciated from RTGS\$2.5 in February 2019 to the current ZWL\$25 pegged in March 2020. However, the gap between formal market exchange rate and the alternative foreign exchange market at rate has persistently widened thereby creating further distortions in the market.

9.2. During the quarter under review, inflation remained on an upward trajectory spiking from 176% in June 2019 to 676.39% in March 2020.

9.3. Month-on-month inflation averaged 14.11% during the quarter under review. Inflation is expected to continue to be largely influenced by speculative tendencies by economic agents especially around exchange rate movements. Furthermore, the COVID-19

pandemic has created supply-side disruptions thereby exacerbating inflationary forces.

10. Trends in the Real Estate Market

10.1. Property valuations in the United States dollar officially ended on 24 June 2019 following the gazetting of S.I 142 of 2019. This resulted in valuation inconsistencies especially for entities that had just concluded their annual valuations. Audited Zimbabwe dollar property revaluations are expected by 30 June 2020.

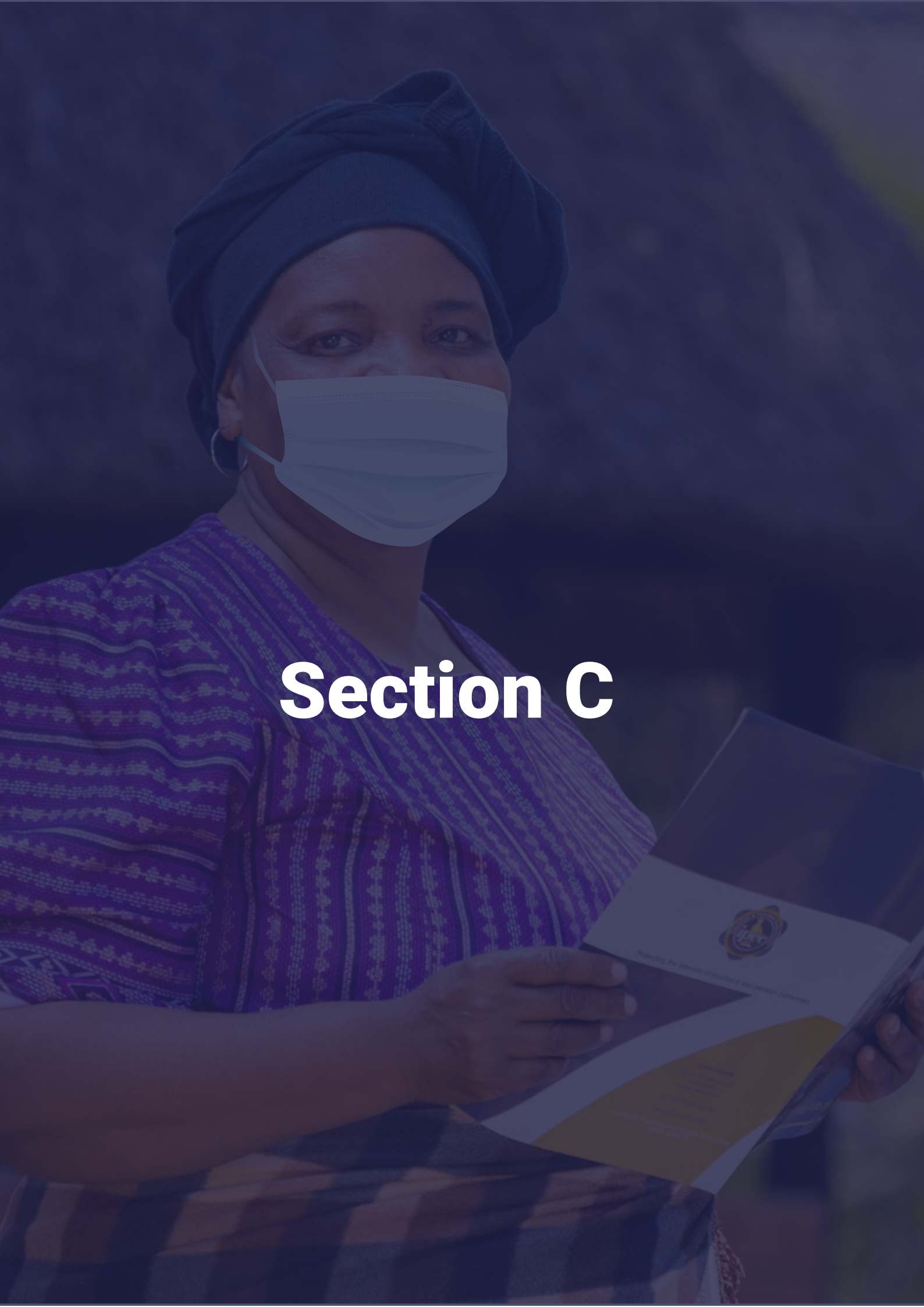
10.2. The property market has continually suffered from rental arrears, low occupancy ratios and rental adjustments lagging inflation rates. In order to protect tenants, the Government gazetted Statutory Instrument 96 of 2020 to cushion tenants from the effects of Covid-19. The foregoing factors compromise policyholder benefits and values.

11. Trends on the ZSE

10.1. During the review period, the equities market was largely bullish, registering a 98.3% growth in market capitalisation from ZWL\$29.767 billion at the beginning of the quarter to ZWL\$59.038 billion by the end of the quarter.

12. Trends in the Money Market

12.1. Nominal monthly deposit rates for money market investments varied from 3.55% to 14.99 % against real negative returns of up to 86.66% and annual inflation rate of 676.39%. The Central bank also took a soft stance on its Overnight lending rate from 35% to 15% as the effects of Covid-19 took its toll.

A woman with a blue headwrap and a white face mask is holding a document. The document features a logo with a bell and the text "Ensuring the strength of numbers that justice demands".

Section C

13. Regulatory and Supervisory COVID-19 Measures

13.1. In response to the COVID-19 Pandemic, the Commission, in liaison with the industry instituted a number of measures to ensure business continuity and sustainability of the insurance and pensions industry.

13.2. Some of the measures instituted include the following:

a) Call for business continuity plans from the industry through circular 6 and circular 8 of 2020. The main purpose of the circulars was to ensure the following:-

- Business continuity and avoiding disruptions and delays in processing of benefits;
- Continued accessibility to the industry by policyholders and pension scheme members to ensure timely payments of benefits and resolution of members' queries and enquiries;
- Meeting of regulatory reporting obligations including filing of quarterly and annual returns; and
- Conducting of impact assessment of the pandemic on the industry.

b) Extension of deadlines for statutory returns. In view of the lockdown measures which resulted in most of industry staff working remotely from homes, the Commission extended the deadline for industry's submission of quarterly returns.

c) Selective suspension of pension contributions. Following disruptions in business operations which resulted in labour market interruptions, the Commission received and approved suspensions of pension contributions for some funds whose sponsoring employers were facing difficulties until such a time

when the economy returns to normalcy.

d) Suspension of on-site inspections – the Commission suspended all onsite inspections and shifted focus to offsite inspections. The offsite inspections will inform future onsite inspections once the pandemic has been contained.

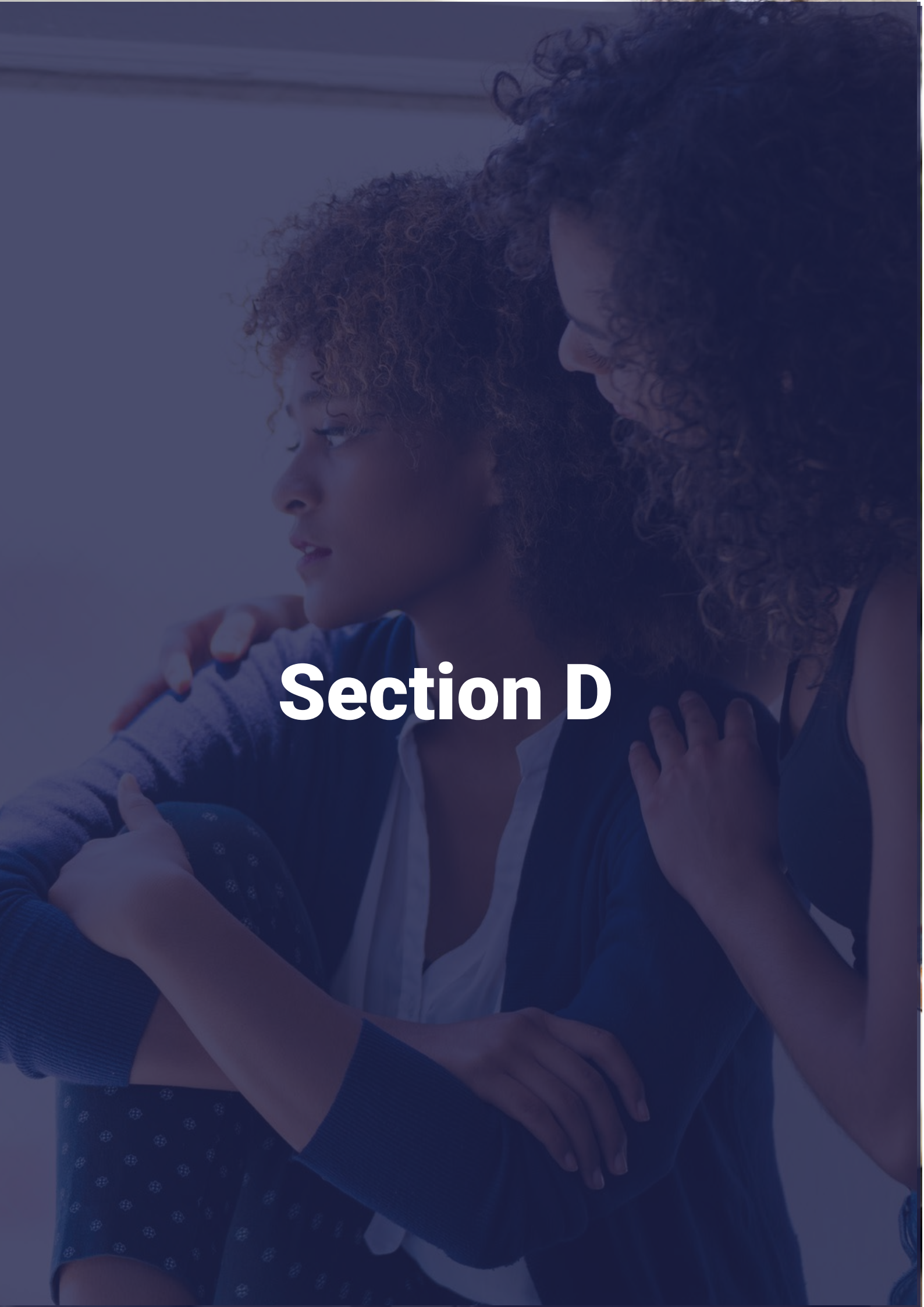
e) Adoption of virtual meetings with the Commission's clients and stakeholders, which has become the new normal under the current environment. The Commission is set to conduct its virtual Annual General Meeting on 30 June 2020.

f) Identified risks associated with the pandemic and came up with mitigatory measures as part of the Commission's risk matrix.

g) Supervisory information exchanges with other regulators under the auspices of the International Association of Insurance Supervisors (IAIS) and the International Organisation of Pension Supervisors (IOPS) on measures being implemented in response to the COVID-19 pandemic.

h) Coordinated industry's support to Government towards COVID-19 combative efforts following the declaration of the pandemic as a national disaster. The Commission facilitated industry's meetings with the Inter-Ministerial Committee on COVID-19, which is chaired by the Hon. Vice President, Cde. K. C. Mohadi and donations to Government.

13.3. The Commission will continue to monitor the impact of the pandemic on the industry, policyholders and pensioners, with a view to informing regulatory and supervisory interventions.



Section D

Funeral Assurance Detailed Report

14. Performance in-terms of Business Written

14.1. Inflation adjusted GPW written for the period under review decreased by 50.33% to ZWL\$2.837 million for the quarter ended 31 March 2020. The notable decrease in GPW in real terms was on account of the decrease in real incomes following inflationary spikes.

14.2. Funeral assurers continue to experience challenges in writing new business as compared to life assurers, who wrote inflation adjusted funeral assurance business worth ZWL\$39.27 million for the three months ended 31 March 2020.

14.3. In comparison funeral assurers wrote 6.73% of the total funeral business that was written in the market. This was observed to be approximately fourteen times less than the funeral business written by the life assurers.

14.4. A detailed breakdown of GPW per funeral assurer in-terms of recurring and new business is shown in Appendix 4. A summary of the GPW per company is shown in Table 3 below.

Table 3: Gross Premium Written Per Company (ZWL\$000)

	Name of Company	Mar-2020 Inflation Adjusted	Mar-2020	Mar-2019	Change (%)	Change - Inflation Adjusted
1.	First Funeral	649.39	5,041.83	1,315.87	283.16%	-50.65%
2.	Foundation	122.87	953.93	258.07	269.64%	-52.39%
3.	Moonlight	1745.23	13,549.81	3,185.66	325.34%	-45.22%
4.	Orchid	4.04	31.39	13.62	130.47%	-70.31%
5.	Passion	62.02	481.54	330.33	45.78%	-81.22%
6.	Ruvimbo	67.21	521.82	125.20	316.80%	-46.32%
7.	Sunset	8.29	64.33	43.73	47.09%	-81.05%
8.	Vineyard	178.40	1,385.05	440.47	214.45%	-59.50%
	Total	2837.45	22,029.69	5,712.95	285.61%	-50.33%

15. Capitalisation

15.1. Two out of eight funeral assurers reported capital positions above the regulatory minimum capital requirement of ZWL\$62.50 million as stipulated in Statutory Instrument 59 of 2020 based on their unaudited financials as at 31 March 2020.

15.2. The remaining six (6) funeral assurers have either submitted capitalisation plans or advised the Commission that their boards are looking into the matter.

15.3. At the time of reporting the Commission was still in the process of reviewing the submissions.

15.4. The Commission continues to note with concern that a number of funeral

assurers continue to report capital levels which include assets such as software and other intangible assets that may not be available to fulfil policyholder obligations.

15.5. Capital positions for funeral assurers ranged from ZWL\$14.6 million to ZWL\$ 275.93 million as at 31 March 2020, as shown in Table 3 below.

Table 4: Capitalisation Trend Levels

Entity	capital Position Mar-2020	Dec-2019	Sep-2019	Jun-2019	Mar-2019	Dec-2018
Doves	Now life assurer	Now life assurer	Now life assurer	46,829.68	17,084.15	17,665.70
First Funeral	19,294.66	9,211.00	9,057.65	9,110.73	5,829.53	5,829.53
Foundation	58,132.99	58,262.00	3,013.21	3,005.07	1,388.74	1,445.63
Moonlight	275,392.69	139,017.00	141,366.99	55,469.26	4,559.41	4,504.36
Orchid	9,649.26	754	704.05	711.28	711.68	711.68
Passion	2,539.83	1,118.00	792.39	511.22	556.83	535.86
Ruvimbo	14,042.57	3,451.00	3,383.21	2,445.85	2,445.85	2,466.17
Sunset	96,052.76	10,006.00	9,564.29	1,677.95	1,568.37	1,682.64
Vineyard	30,065.73	15,454.00	2,538.40	2,510.10	2,502.04	2,318.11
Total	505,170.49	237,273.00	170,420.20	122,271.14	36,646.60	37,159.68

16. Asset Quality

16.1. On an inflation adjusted basis, Funeral assurers' total assets increased by 54.44% from ZWL\$287.91 million as at 31 December 2019 to ZWL\$444.64 million as at 31 March 2020.

16.2. The positive asset movement was mainly attributable to property revaluations that were conducted by funeral assurers. This is evident in the positive change of 61% in property values from ZWL\$260.05 million to ZWL\$418.83 million for the comparable period.

16.3. Ownership of these properties remains a very grey area given the relationship between the funeral assurers and the subsidiary/ associateship with the funeral service companies.

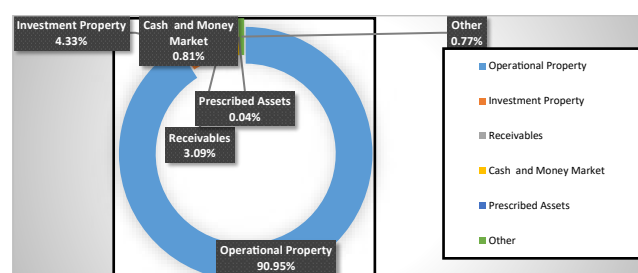
16.4. Accounts receivables constituted 3.09% of the funeral assurers' asset portfolio. Of these receivables Intercompany receivables accounted for

approximately 38.00% of total receivables which is relatively high as funeral assurers are paying for goods and services in advance to funeral providers as mitigating measures against ever-rising costs associated with providing funeral services.

16.5. Prescribed asset investments were relatively insignificant as they accounted for 0.04% of the asset portfolio.

16.6. The distribution of assets for the funeral assurance sector is as shown in Figure 1 below.

Figure 1: Breakdown of Assets



16.7. All funeral assurers continue to be non-compliant with the minimum prescribed asset ratio of 10.00% as stipulated by Statutory Instrument 206 of 2019. The Commission has engaged all funeral assurers on their compliance roadmaps and appropriate action has been taken where compliance plans have not been submitted.

16.8. In nominal terms investments in prescribed assets decreased by 24.90% from ZWL\$272.30 as at 31 December 2019 to ZWL\$204.49 million as at 31 March 2020.

16.9. The Commission has since engaged funeral assurance players and efforts are underway to ensure compliance within stipulated timeframes as outlined in Statutory Instrument 206 of 2019.

16.10. Non-compliance will be addressed in line with Section 11B (6) of Insurance Regulations (SI 49 of 1989) as amended by SI 206 of 2019.

16.11. Table below shows the prescribed assets compliance levels for each funeral assurer.

Table 5: Prescribed Assets for the Funeral Assurance Sector.

PRESCRIBED ASSETS INVESTMENTS AS AT 31 MARCH 2020 (000)					
Company	Prescribed asset Investments	Total assets	PA ratio	Amount required to be compliant	Variance in compliance
Orchid	-	13,286.73	0.00%	1,328.67	10.00%
First Funeral	11.72	25,634.79	0.05%	2,563.48	9.95%
Foundations	108.41	61,562.12	0.18%	6,156.21	9.82%
Moonlight	13.19	31,450.50	0.00%	31,450.55	10.00%
Passion	37.63	3,260.20	1.15%	326.02	8.85%
Ruvimbo	13.24	14,929.07	0.09%	1,492.91	9.91%
Sunset	0.30	97,721.14	0.00%	9,772.11	10.00%
Vineyard	20	31,972.18	0.06%	3,197.22	9.94%
Total	204.49	562,097.82	0.04%	56,287.17	9.96%

17. Reassurance

17.1. No funeral assurer had reinsurance arrangement(s) in place, resulting in a reinsurance ratio of 0% for the quarter ended 31 March 2020.

17.2. The Commission cannot over-emphasise the need for funeral assurers to have reinsurance arrangements so as to better manage their risk exposures. Furthermore, reinsurance increases the amount of available capital, thereby allowing funeral assurers to write more business.

17.3. Reassurance also helps funeral assurers to meet the Minimum Capital Requirements (MCR) through issuing guarantees in the course of reinsurance business as outlined in subsection (c) of section 3A (1) of Statutory Instrument 95 of 2017.

18. Actuarial Matters

18.1. Total technical liabilities for the funeral assurance sector marginally increased by 2.44% from ZWL\$27.89 million

as at 31 December 2019 to ZWL\$ 28,57million as at 31 March 2020.

18.2. Future policyholder benefits were the major component of technical liabilities and accounted for 99.71%, whilst unearned premium reserve, gross outstanding claims and incurred but not reported accounted for 0.29%.

18.3. Liabilities are likely to be underestimated given that on setting reserves funeral assurers were heavily reliant on valuations assumptions used in actuarial valuations for the financial year ended 31 December 2019.

18.4. The slight increase in technical liabilities was not commensurate with the risk profile of the funeral assurance sector, This emanates from the change in the macro-economic environment, as funeral assurers reserves should have increased given that the cost of services that they have undertaken to provide has also increased.

18.5. Players highlighted that engagements were still ongoing with their respective statutory actuaries to mitigate the above scenario and that a more accurate position would be shared in the second quarter of 2020.

18.6. Given the significant revaluations of assets done in the quarter under review, funeral assurers are expected to re-distribute the gains as dictated by the relevant legislation.

18.7. Given the significant asset revaluations done during the quarter under review, funeral assurers are expected to re-distribute the gains as provided for in the Guidance Paper on revaluations. In this regard, policyholder

funds will also benefit from asset revaluations.

18.8. Furthermore, this would assist in ensuring that generational inequity and transfer of policyholder funds to shareholders is curbed.

18.9. Funeral assurers are encouraged to set reserves that are reflective of future claims experience that is likely to emerge, as some funeral assurers are not incorporating any reasonable assumptions into the figures being submitted.

18.10. This position is emanating from the low claims experience that is being continuously being observed given the low claims ratio of 33.25% witnessed during the three months ended 31 March 2020.

18.11. This low claims ratio might be indicative of incorrect mortality assumptions and/or various assumptions being applied to the funeral product pricing. This suggests that funeral assurers may be overcharging for funeral products as this trend continues to be observed.

18.12. All funeral assurers are, therefore, encouraged to revisit their various business models especially where pricing and reserving methodologies are concerned. This will assist in reducing the risk of over/under reserving.

18.13. The Commission continues to urge all funeral assurers to match their liabilities with assets.

18.14. It has been observed that a number of policyholders have multiple policies and in certain instances may opt for a

cash benefit instead of funeral benefit.

18.15. Therefore, there is need for funeral assurers to adhere to Section 58(4) and (5) of the Insurance Act [Chapter 24:07], which requires them to offer cash benefits equal to cost of providing a funeral service. This will increase the reserves that funeral assurers are expected to hold given the different options that are available.

19. Earnings

19.1. Five (5) funeral assurers reported positive profit before interest and tax, while the remaining three (3) reported losses during the period under review. However, the reported losses experienced by the 3 funeral assurers were insignificant as the overall net effect was an increase in profit before interest and tax by 21.37% from ZWL\$3,60 million for quarter ended 31 March 2019 to ZWL\$4,37 million for the quarter ended 31 March 2020.

19.2. The increase in profit before interest and tax was on account of a sharp increase in nominal GPW written emanating mainly from premium increases in line with the general increase in prices during the quarter under review.

19.3. This is supported by the 32.68% decrease in the number of policies written from 219,960 during the first quarter of 2019 to 147,670 during the quarter ended 31 March 2020.

19.4. Operating expenses increased by 285.24% and were largely concentrated in one funeral assurer which accounted for 68.34% of the total operating expenses (ZWL\$8.71 million) for the quarter ended 31 March 2020.

19.5. The remaining seven funeral assurers accounted for remaining 31.66% of operating expenses.

19.6. The expense ratio for the quarter ended 31 March 2020 stood at 64.87%. This implies that for every dollar of premium received approximately sixty-five cents was spent on management and operational expenses.

19.7. As previously alluded to, this ratio continues to be very high and is unsustainable in the long term, especially if funeral assurers have an excessive run on the book where claims are concerned.

18.8. All funeral assurers are therefore reminded of the need to rationalize their operating and management expenses to levels that are sustainable.

19.9. Claims ratio for the sector decreased from 33.25% during the quarter ended 31 March 2019 to 31.54% during the quarter ended 31 March 2020.

19.10. A summary of the claims incurred, operating expenses, total costs for each funeral assurer for the quarter-ended 31 March 2020, is shown in Appendix A5.

20. Liquidity

20.1. The Funeral assurance sector reported an average current ratio of 116%, indicating that the sector as a whole had enough current assets to meet current liabilities.

20.2. The Commission urges funeral assurers to continuously analyse their investment portfolios, so as to avoid asset- liability mismatch.

20.3. Asset liability mismatch may either

result in the assurers holding inadequate liquid assets to settle claims or holding too much cash that will result in them forgoing investment opportunities that have a positive return.

20.4. Funeral assurers should invest in appropriate short-term liquid assets that permit them to meet their short-term obligations as and when they fall due.

21. Market Share

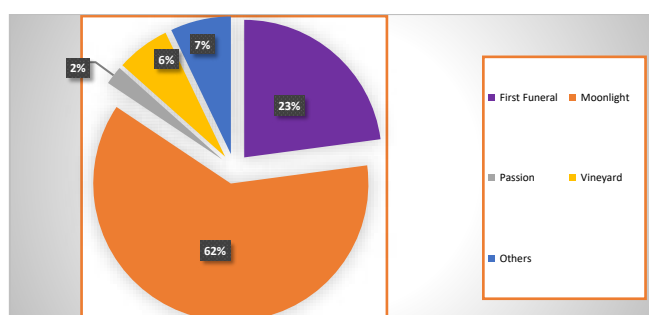
21.1. One funeral assurer wrote 61.51% of GPW for the quarter ended 31 March 2020. The remaining seven funeral assurers wrote 38.49% of funeral assurance business.

21.2. The funeral assurance sector wrote 6.73% of the entire funeral business for the period under review when compared to life assurers who wrote 93.21% of the funeral assurance business.

21.3. Funeral assurers are encouraged to be innovative and develop products that enable the sector to tap into the uninsured market so as to improve market share and withstand the pressure being experienced from the life assurers.

21.4. Distribution of the market share in-terms of GPW for the eight dedicated funeral assurers is shown in Figure 2 below. Figure 2: Market Share in-terms of GPW

Figure 2: Market Share in-terms of GPW



22. Funeral Assurance Sector Complaints

22.1. During the period under review, the Commission received five (5) complaints related to funeral assurance business with four (4) of the cases having been resolved while the other case was still under investigation as at 31 March 2020.

22.2. Two (2) of the cases handled related to refusal by funeral assurers to pay cash in lieu of service in cases of multiple policies, while the other two (2) related to disputes on benefits paid and the other one was about an increase in premiums.

22.3. The Commission engaged the concerned funeral assurers who agreed to meet their obligations by paying cash in lieu of service and paying for groceries as per policy terms and conditions.

22.4. Funeral assurers are encouraged to meet their obligations without the need for the Regulator to enforce the law.

23. The Future

23.1. The funeral assurance sector, like any other sector in the insurance industry is being affected by economic challenges that have resulted in increasing costs of doing business, shrinking premiums in real terms due to shrinking disposable incomes of consumers and limited viable investment options to invest policyholder funds.

23.2. Increasing competition from life assurers in writing funeral assurance business is also a threat that the funeral

assurance sector should always put on its radar going forward.

23.3. This threat underscores the need for funeral assurance sector players to be innovative and aggressive in-terms of writing new business and tapping into the uninsured market.

23.4. As highlighted in previous reports and as also stressed on various platforms, the Commission is concerned with the sector's high commissions, management and administration costs, that are detrimental to the protection of policyholder funds.

Appendix

APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position i.e. Net Assets (\$ 000)	9,649	19,295	58,133	275,393	2,540	14,043	96,053	30,066	505,170
Capital Coverage Ratio (CCR)	25.73%	51.45%	155.02%	734.38%	6.77%	37.45%	256.14%	80.18%	168.39%
Equity/Total Assets Ratio	72.63%	75.27%	94.43%	87.56%	77.90%	94.06%	106.66%	94.04%	91.20%
Solvency Margin	278.15%	364.58%	1998.69%	1724.56%	861.43%	-	-	4826.03%	1797.62%
Asset Quality									
Total Assets (\$ 000)	13,288	25,635	61,562	314,505	3,260	14,929	97,721	31,972	562,873
Investments to Total Assets	22.58%	16.87%	6.75%	0.00%	24.20%	93.42%	0.00%	5.82%	4.99%
Non-Interest Generating Assets/Total Assets	77.21%	81.76%	92.97%	99.89%	54.32%	2.47%	99.92%	93.77%	94.58%
Fixed Assets/Total Assets	77.06%	65.22%	91.46%	96.48%	0.00%	0.00%	99.92%	86.28%	90.95%
Prescribed Assets Ratio	0.00%	0.05%	0.18%	0.00%	1.15%	0.09%	0.00%	0.06%	0.04%
Premium Debtors/Gross Premium	2.61%	84.12%	9.96%	77.35%	4.16%	67.26%	0.00%	157.67%	74.83%
Premium Debtors/Total Assets	0.01%	16.54%	0.15%	3.33%	2.10%	2.35%	0.00%	6.83%	3.09%
Reinsurance									
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Actuarial									
UPR	67	0	0	0	0	0	0	0	67
Gross Outstanding Claims	0	0	0	11	0	0	0	0	11
Future Policyholder Benefits	3402.737	5292.34	2908.529	15958.2	294.838	0	0	617.408	28474.052
Total Assets/Total Reserves	382.99%	484.38%	2116.61%	1969.50%	1105.76%	-	-	5132.04%	1971.05%
Earnings									

Profit After Tax (000)	-47.41	590.32	(251.58)	523.39	1,240.17	66.04	(26.57)	2,204.33	4,298.68
Return on Equity	-0.49%	3.06%	-0.43%	0.19%	48.83%	0.47%	-0.03%	7.33%	0.84%
Return on Assets	-0.36%	2.30%	-0.41%	0.17%	38.04%	0.44%	-0.03%	6.89%	0.76%
Loss(Claims) Ratio	25.45%	33.19%	12.28%	32.45%	25.00%	17.36%	15.42%	44.38%	31.54%
Net Commission Ratio	0.00%	20.14%	6.57%	3.02%	0.10%	0.00%	3.59%	3.96%	6.66%
Net Expense Ratio	122.25%	28.14%	110.25%	64.28%	25.01%	62.47%	117.67%	44.16%	54.75%
Combined Ratio	147.70%	81.45%	129.10%	99.74%	171.13%	78.25%	319.86%	92.50%	98.13%
Liquidity									
Current ratio	5.51%	22.81%	50.94%	208.72%	17.46%	232.65%	2145.85%	51.80%	116%
Acid Test ratio									
Liquid assets as a percentage of total assets	22.79%	1.37%	0.14%	0.10%	19.28%	0.01%	0.08%	0.26%	0.81%
Market Shares									
Market Share Based on GPW	0.13%	21.66%	4.10%	58.21%	7.07%	2.24%	0.65%	5.95%	100%
Market Share Based on NPW	0.13%	21.66%	4.10%	58.21%	7.07%	2.24%	0.65%	5.95%	100%
Market Share Based on Total Assets	2.36%	4.55%	10.94%	55.88%	0.58%	2.65%	17.36%	5.68%	100%

APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE QUARTER ENDED 31 MARCH 2020 (000)

	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	31.39	5,041.83	953.93	13,549.81	1,644.79	521.82	150.54	1,385.05	23,279.16
Reinsurance Premiums									-
Net Written Premiums	31.39	5,041.83	953.93	13,549.81	1,644.79	521.82	150.54	1,385.05	23,279.16
Increase/(Decrease) in UPR		2.16				47.44			49.60
Net Earned Premiums	31.39	5,039.67	953.93	13,549.81	1,644.79	474.38	150.54	1,385.05	23,229.56
Outstanding claims				10.63					10.63
Paid Claims	7.99	1,672.69	117.11	4,385.66	411.20	82.36	23.22	614.68	7,314.90
Net Claims	7.99	1,672.69	117.11	4,396.29	411.20	82.36	23.22	614.68	7,325.53
Net Commissions and Fees		1,014.93	62.69	408.55	1.58		5.40	54.80	1,547.94
Technical Result	23.40	2,352.05	774.13	8,744.97	1,232.01	392.02	121.92	715.57	14,356.09
Operating/Administration Expenses	38.37	1,418.70		8,087.15		325.99	87.26	39.04	9,996.51
Underwriting Profit/(Loss)	(14.97)	933.35	774.13	657.82	1,232.01	66.04	34.66	676.53	4,359.57
Management expenses			1,051.73	622.67	411.29		89.88	572.67	2,748.24
Investment Income		45.00	3.12	0.36				1,720	1,768.48
Other expenses	82.91	378.14	1.96					30.35	493.36
Other Income	50.47		25.50	549.77	419.44		30.65	410.82	1,486.65
Profit Before Interest and Tax	(47.41)	600.21	(250.93)	585.28	1,240.17	66.04	(24.57)	2,204.33	4,373.10
Taxation			0.65				1.99		2.64
Interest Payments		9.89		61.89			0.00		
Profit After Tax and Interest	(47.41)	590.32	(251.58)	523.39	1,240.17	66.04	(26.57)	2,204.33	4,298.68
Transfer to policyholders funds			47.70						47.70
Retained Income	(47.41)	590.32	(299.28)	523.39	1,240.17	66.04	(26.57)	2,204.33	4,250.98

APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 31 MARCH 2020 (000)

	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS									
Non-Current Assets									
Property and Equipment	10,240	16,718	56,303	303,448			97,643	27,587	511,940
Investment Property		4,279	4,050		640	13,568		1,840	24,376
Investments in Securities		46	108		149	378		20	701
Intercompany Investments						2			2
Other Non-Current Assets			79	13	34	601		47	774
Total Non-Current Assets	10,240	21,042	60,540	303,462	823	14,548	97,643	29,494	537,793
Technical Assets									
Reinsurers' Share of O/S Claims									-
Deferred Acquisition Cost (DAC)									-
Total Technical Assets	-	-	-	-	-	-	-	-	-
Current Assets									
Cash & cash equivalents	28	351	89	323	628	1	77	84	1,583
Short Term Investments	3,000						0		3,000
Prescribed Assets					38	11			49
Inventory and Other Assets	19		838	240	1,703	18		210	3,028
Accounts Receivables	1	4,241	95	10,480	68	351		2,184	17,420
Total Liquid Assets	3,028	351	89	323	628	1	78	84	4,583
Total Assets	13,288	25,635	61,562	314,505	3,260	14,929	97,721	31,972	562,873
Liabilities									
Deferred Tax Liabilities				6,224					6,224
Future policyholders benefits	3,403	5,292	2,909	15,958	295			617	28,474
Short term loans		207		658		65			930
Long term Loans				93					93
Current Tax provisions				351					351

Gross Outstanding Claims				11					11
IBNR								6	6
UPR	67								67
Creditors	25								25
Amount due to related companies	143								143
Other Liabilities		841	521	15,817	426	822	1,668	1,283	21,379
Total Technical Liabilities/Reserves	3,469	5,292	2,909	15,969	295	-	-	623	28,557
Current Liabilities	168	1,048	521	23,051	426	887	1,668	1,283	29,052
Total Liabilities	3,637	6,340	3,430	39,113	720	887	1,668	1,906	57,702
Shareholders' Equity									
Share Capital	14	411		1,500	1,049	930	352	211	4,467
Share Premium	1,334	1,610						13,337	16,281
Revaluation & Other Reserves	9,245	12,461	58,432	291,763	430	12,581	102,321		487,232
Retained Profit	(943)	4,812	(299)	(17,870)	1,061	532	1,554	16,517	5,364
Shareholders' Equity	9,650	19,295	58,132	275,393	2,540	14,043	104,227	30,066	513,344
TOTAL EQUITY & LIABILITIES	13,288	25,635	61,562	314,505	3,260	14,929	105,895	31,972	571,046

APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 31 MARCH 2020

Name of Company	Individual Life (000)							Corporate Business (000)						Total Gross Premiums (000)					
	New Business				Recurring Premiums				New Business				Recurring Premiums						
	Mar-2020	Mar-2019	Change (%)	Mar-2020	Mar-2019	Change (%)	Mar-2020	Mar-2019	Change (%)	Mar-2020	Mar-2019	Change (%)	Mar-20 Inflation Adjusted	Mar-2020	Mar-2019	Change (%)	Change - Inflation Adjusted		
First Funeral	3	3	-8%	5,039	1,313	284%	-	0	0%	-	0	0%	649.39	5,041.83	1,315.87	283.16%	-50.65%		
Foundation	14	4	216%	940	253.78	271%	-	0	0%	-	0	0%	122.87	953.93	258.07	269.64%	-52.39%		
Moonlight	503	92	446%	13,047	3,094	322%		0	0%		0	0%	1745.23	13,549.81	3,185.66	325.34%	-45.22%		
Orchid	-	-	0%	5	5,019	0%	-	0	0%	26	8.6	207%	4.04	31.39	13.62	130.47%	-70.31%		
Passion	-	5	-100%	482	64,244	650%		0.982	-100%		259.7	-100%	62.02	481.54	330.33	45.78%	-81.22%		
Ruvimbo	157	31	400%	365	93.897	289%	-	0	0%	-	0	0%	67.21	521.82	125.20	316.80%	-46.32%		
Sunset	10	1	1770%	54	43.176	25%	-	0	0%	-	0	0%	8.29	64.33	43.73	47.09%	-81.05%		
Vineyard	73	16	365%	146	39.372	270%	197	80.395	145%	969	305.014	218%	178.40	1,385.05	440.47	214.45%	-59.50%		
TOTAL	759.33	152.62	398%	20,077.63	4,905.65	309%	196.87	81.38	142%	995.86	573.31	74%	2837.45	22,029.69	5,712.95	285.61%	-50.33%		

APPENDIX A5 COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 31 MAR 2020

Co. Name	NPW (000)			Claims (000)			Commissions(000)			Management Expenses (000)			Total Costs(000)			Combined Ratio		
	Mar-19	Mar-20	Change	Mar-19	Mar-20	Change	Mar-19	Mar-20	Change	Mar-19	Mar-20	Change	Mar-19	Mar-20	Change	Mar-19	Mar-20	Change
First Funeral	1,316	5,041.83	283%	465.13	1,672.69	260%	326.63	1,014.93	211%	591.93	1,418.70	140%	1,383.68	4,106.32	197%	105%	81%	-24%
Foundation	258	953.93	270%	50.73	117.11	131%	16.12	62.69	289%	216.23	1,051.73	386%	283.07	1,231.53	335%	110%	129%	19%
Moonlight	3,186	13,549.81	325%	910.05	4,396.29	383%	94.86	408.55	331%	2,050.54	8,709.82	325%	3,055.45	13,514.66	342%	96%	100%	4%
Orchid	14	31.39	130%	12.14	7.99	-34%	-	-	0%	6.52	38.37	489%	18.66	46.36	149%	137%	148%	11%
Passion	323	481.54	49%	109.85	411.20	274%	25.14	1.58	-94%	186.24	411.29	121%	321.23	824.07	157%	100%	171%	72%
Ruvimbo	125	521.82	317%	23.32	82.36	253%	-	-	0%	102.80	325.99	217%	126.12	408.35	224%	101%	78%	-22%
Sunset	44	64.33	47%	3.78	23.22	515%	0.18	5.40	2985%	38.42	177.14	361%	42.37	205.76	386%	97%	320%	223%
Vineyard	440	1,385.05	214%	119.48	614.68	414%	20.97	54.80	161%	159.06	611.71	285%	299.51	1,281.18	328%	68%	93%	25%
Total	5,705.40	22,029.69	286%	1,694.45	7,325.53	332%	483.89	1,547.94	220%	3,351.73	12,744.76	280%	5,530.07	21,618.23	291%	97%	98%	1%

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